

In the wake of dovish-leaning comments from the Fed leadership and softer-than-anticipated inflation, today's weaker-than-predicted jobs figures have further diminished the chances of an October interest rate hike. December remains the most likely date for the next move. We continue to believe market pricing for additional action is too aggressive

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29,000

Number of jobs added in
September

Lower than expected

**September jobs report was weaker on all
three key metrics**

The US September jobs report is softer than expected on all three key metrics. 1) non-farm payrolls rose +29k versus the +90k consensus with 60k of downward revisions, 2) the unemployment rate ticks up to 4.2% from 4.1%, driven by a partial recovery in the participation rate (people returning to the workforce) and 3) and wage growth of 3% year-on-year versus 3.1%, suggesting that there is no inflation threat emanating from the jobs market.

It chimes with the latest comments from Federal Reserve big hitters John Williams (NY Fed president) and Philip Jefferson (Vice Chair), suggesting they may need more time/no urgency to hike rates. As such, the Fed leadership is clearly leaning in the direction of an

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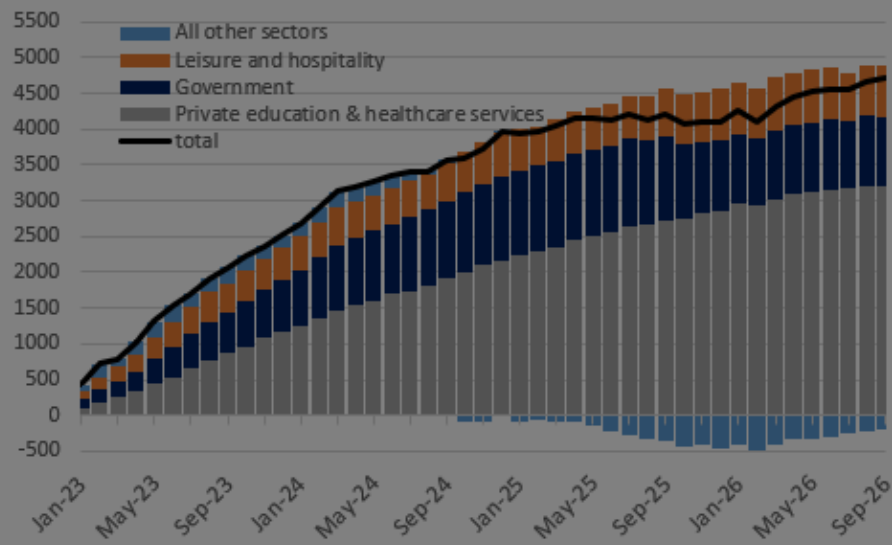
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**Cumulative employment change since
December 2022 (000s)**



Source: Macrobond, ING

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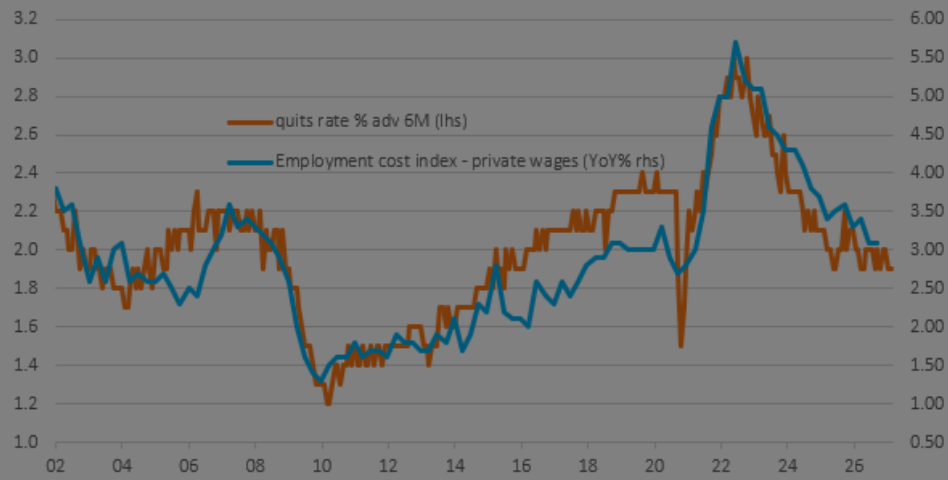
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jobs market and reinforces our view that the market pricing of 3–4 Fed rate hikes looks too aggressive.

Low quits rate points to ongoing wage weakness



Source: Macrobond, ING

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